

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

BLUE SHEET

Blue Sheets are a department's final bill analysis and provides the Commissioner an opportunity to weigh in on legislation that has passed, with a recommendation to the Governor on action that may be taken– to enact the bill, to veto the bill, or to allow the bill to become Law without signature (LWOS). Much of the information requested in the Blue Sheet can be taken from the department's bill analyses (BA), which were initially submitted at the time the bill was introduced and updated throughout the legislative process.

Blue sheets are due to the GLO three days after the enrolled bill appears on basis, or sooner by request.

Department: DCCED

Date: 5/26/2026

Bill Number: HB 302

Short Title (as it appears on BASIS): TRAVEL INSURANCE

What action do you recommend the Governor take?

Select one.

☒ SIGN ☐ VETO ☐ LWOS

Action Justification – Why do you recommend the above action?

Please be specific.

This bill modernizes the travel insurance and trade practice rebating and advertising statutes of Title 21 Insurance. The bill also includes sections updating unemployment benefits in Title 23 Labor and Workers' Compensation.

The travel insurance amendments make it easier for consumers to purchase travel insurance bundled with travel assistance services at the same time they are booking trips. The bill allows travel insurers to offer new products to Alaskans that they are currently selling in other states. It maintains consumer protections by requiring consumer disclosures and a limited free-look period for travel products, while ensuring the premium tax is paid on the travel insurance. Forty-two states have adopted the travel insurance model act.

The amendments to the rebating and advertising sections within insurance Trade Practices make it easier for insurers and producers to offer to consumers value-added products and services intended to reduce risk or educate consumers about risk, such as water monitors, FitBits, carbon monoxide monitors, etc. An insurer or producer, subject to approval of the division of insurance, can run a pilot program to test and confirm that an innovative product or service provides the

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expected addition of value to a consumer. The director of insurance is required to set the dollar amount a value-added product can be worth in regulation.

The bill language is based upon the National Association of Insurance Commissioners (NAIC) Travel Insurance Model Act (Model Law #632) and Unfair Trade Practices Act (Model Law #880) Rebate section, adopted after extensive insurance industry feedback.

The sections amending the unemployment insurance benefit increases the maximum weekly benefit to \$470, increases the allowances for dependents to \$72 per week not to exceed \$216 for all dependents a week, and requires the Department of Labor and Workforce Development to adjust the maximum base wage each year. DCCED defers to DOLWD on these sections.

What does this Bill do?

In addition to providing a succinct bill summary, please also consider the following: Why is this bill needed? How does it specifically change department programs? What is the anticipated impact on the public, the private sector? Does this bill align with the priorities of Governor Dunleavy?

This bill modernizes the rebating and inducement sections and the travel insurance statutes of Title 21.

Sections 4-8 of this bill modernize Section 36 of Title 21 to allow for insurers and producers to provide consumers with products or services, up to a defined monetary limit, intended to reduce risks to the individual or property insured. The current statutory framework prohibits insurers and producers from providing products or services such as smoke detectors, carbon monoxide monitors, water sensors, Fitbits, blood pressure monitoring cuffs, intended to reduce or mitigate the insurance risk and improve the safety or risk profile of property or the health of an individual. The proposed statutory amendments maintain consumer protection and are consistent with the National Association of Insurance Commissioners' (NAIC) revisions to Model Law 880 Unfair Trade Practices Act, Section I Rebates.

Governor Dunleavy first asked DOI to draft legislation such as Sections 4-8 of HB 302 that could be introduced as a part of his Healthy Families initiative when he recognized that insurers could not offer products such as a Fitbit or pedometer to policyholders that could improve health. The legislation was drafted in 2022 but was not introduced as it was too late in the session.

In 2023, the DOI was advised that we could work with the industry and find a sponsor to introduce the legislation. The American Property and Casualty Insurance Association (APCIA) took the lead and worked with other members of the industry to identify a sponsor and is very supportive of the bill.

Sections 1-3, 9, and 13 of this bill modernize the travel insurance statutes of Title 21, providing for non-insurance services, such as travel assistance services or cancellation fee waivers, to be offered as part of a travel protection plan that also includes travel insurance. The bill provides how travel insurers must pay premium tax, and that premium tax is not due on non-insurance services. It redefines the travel insurance limited producer license requirements and defines a

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travel retailer that can offer and disseminate travel insurance on behalf of and under the direction of a travel insurance limited producer. The bill directs that travel insurance will be filed with the division of insurance as property and casualty insurance on the inland marine line. The bill aligns the existing travel insurance provisions within Title 21 Insurance with the NAIC Travel Insurance Model Act (NAIC Model Law #632).

Both components of the bill have been asked for and advocated for by insurers and insurance associations to offer new products in Alaska and better serve Alaskan consumers. This bill allows modernization while ensuring consumer protections are in place for Alaskans buying these insurance policies.

Sections 10-12 and 16-18 address unemployment benefits in Title 23.

Detailed Sectional Analysis

The full sectional analysis of the bill should be completed by the lead agency. Other departments should include an analysis for sections of the bill affecting their agencies.

Section 1. AS 21.09.210(p) is amended to provide definitions for blanket travel insurance, cancellation fee waiver, eligible group, group travel insurance, primary certificate holder, primary policyholder, resident, travel assistance services, travel insurance, and travel insurer.

Section 2. AS 21.09.210 is amended to add two new subsections
(q) defines how travel insurance premium will be taxed;
(r) requires travel insurers to document the state of residence or principal place of business of the policy holders or certificate holder for tax purposes and directs travel insurers to report premium for travel insurance and not travel assistance services or cancellation fee waivers.

Section 3. AS 21.27.150(a)(1) is amended to change the statutory reference for who may be issued a travel limited producer license from the general requirements of AS 21.27.150(a) to new Sec 21.42.805.

Section 4. AS 21.36.010 is amended to include reference to P.L 106-102, the Gramm-Leach-Bliley Act, which modernized federal financial services and privacy laws that apply to insurers.

Section 5. AS 21.36.110 is amended to add new subsections (6) and (7).
(6) Provides that an insurer or insurance producer, including through an employee, affiliate, or third-party representative, can offer a value-based product or service at no cost or at a reduced cost when the service or product is not specified in the insurance policy and the product or service
(A) conforms with the requirements in new subsection (b);
(B) relates to the insurance coverage; and
(C) is primarily designed to:
(i) provide loss mitigation or loss control;
(ii) reduce claim costs or claim settlement costs;

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- (iii) provide education about liability risks or risks of loss to persons or property;
- (iv) monitor or assess risk, identify sources of risk, or develop strategies for eliminating or reducing risk;
- (v) enhance health;
- (vi) enhance financial wellness by providing education and financial planning;
- (vii) provide post-loss services;
- (viii) incentivize behavior changes to improve the health or reduce the risk of death or disability of the policyholder or potential policyholder; or
- (ix) assist in the administration of the employee or retiree benefit insurance coverage.

(7) The offer, gift, item, or service must be provided in accordance with new subsection (d).

Section 6. AS 21.36.110 is amended by adding a new subsections:

(b) Provides that, except for as provided in new subsection (c), an insurer or insurance producer offering a value-added product or service in accordance with new (a)(6) shall ensure that:

- (1) the cost of the product or service is reasonable relative to the customer's premium or insurance coverage for the policy class, that the aggregate cost of a value-added product or service offered under this subsection does not exceed the amount set by the director in regulation , and that the value-added product or service is not offered solely to the individual negotiating or procuring a policy on behalf of others;
- (2) if the insurer or producer is providing the product or service offered, the customer is provided with information for whom to contact to assist the customer with questions regarding the product or service;
- (3) the product or service is made available based on documented, objective criteria and offered in a manner that is not unfairly discriminatory; the insurer or producer must maintain the documented criteria and provide it to the director upon request.

(c) Provides that if an insurer or insurance producer does not have sufficient evidence but has a good faith belief that a value-added product or service meets the criteria of (a)(6)(C) of this section, the product or service may still be offered as long as it is offered in a manner that is not unfairly discriminatory as part of a pilot or testing program for a period of not more than three years. An insurer or producer offering a product or service as a part of a pilot or testing program under this subsection shall notify the director before launching the program and may proceed if the director does not object within 21 days after receiving the notice.

(d) Provides that an insurer or insurance producer may

- (1) Offer or give noncash gifts, items, or services to, including the provision of meals to or charitable donations made on behalf of, a customer in connection with the marketing, sale, purchase, or retention of an insurance contract if
 - (A) the offer is made in a manner that is not unfairly discriminatory;
 - (B) the customer is not required to purchase, continue to purchase, or renew a

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- policy in exchange for the noncash gift, item or service; and
- (C) the cost of the noncash gift, item, or service does not exceed an amount determined by the director to be reasonable.
- (2) Offer or give noncash gifts, items, or services to, including provisions of meals to or charitable donations made on behalf of, a commercial or institutional customer in connection with the marketing, sale, purchase, or retention of a contract of insurance, if
 - (A) the offer is made in a manner that is not unfairly discriminatory;
 - (B) the customer is not required to purchase, continue to purchase, or renew a policy in exchange for the noncash gift, item, or services;
 - (C) the cost of the noncash gift, item or service is reasonable relative to the premium or proposed premium; and
 - (D) the cost of the noncash gift, item, or service is not included in any amounts charged to another person or entity;
- (3) Conduct a raffle or drawing to the extent permitted by state law if
 - (A) there is no financial cost to entrants to participate;
 - (B) the raffle or drawing does not obligate participants to purchase insurance;
 - (C) the prizes are not valued in excess of a reasonable amount determined by the director;
 - (D) the raffle or drawing is open to the public;
 - (E) the raffle or drawing is offered in a manner that is not unfairly discriminatory; and
 - (F) a participant is not required to purchase, continue to purchase, or renew a policy in exchange for participation in the raffle or drawing.
- (e) Provides that the director may adopt regulations to implement this section.

Section 7. AS 21.26 is amended by adding new **Sec. 21.36.115. Prohibited advertising practices**, which provides that an insurer or insurance producer or their representatives may not

- (1) Offer or provide insurance as an incentive for purchasing another policy; or
- (2) Use in an advertisement the words “free”, “no cost”, or similar language that suggests that an insurance coverage is free or provided at no cost to the consumer.

Section 8. AS 21.36.120(a) is amended to delete “an agent, or solicitor” and replace with current terminology, “an insurance producer”.

Section 9. Amends AS 21.42 to add new Article 4. Travel Insurance comprised of the following new sections:

New Sec. 21.42.800. Travel insurance classification and filing.

- (a) Provides that travel insurance may be provide under an individual policy or under a group or blanket policy.
- (b) Provides the eligible groups who can purchase travel insurance.
- (c) Provider that travel insurance will be filed with the division as inland marine insurance.

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- (d) Provides that eligibility and underwriting standards for travel insurance must meet the same standards as the underwriting standards for inland marine lines of insurance.

New Sec. 21.42.805. Travel insurance limited producers and travel retailers. Provides the requirements under which the director of insurance may issue a license to an individual or business entity to transact travel insurance.

- (a) Provides under what requirements the director may issue a travel insurance limited produce license to an individual or business entity, that a travel insurance limited producer can sell, solicit, or negotiate travel insurance through a licensed insurer,
- (b) Provides the requirements for when a travel retailer who is authorized to act on behalf of a travel insurance limited producer may offer travel insurance.
- (c) Provides the activities a travel retailer's employee or authorized representative may not engage in unless they are also a travel insurance limited producer.
- (d) Provides the travel insurance product descriptions that must be provided to the consumer.
- (e) Provides the administrative and compliance duties of a travel insurance limited producer when authorizing travel retailers to offer or disseminate travel insurance on their behalf, including maintaining a register of all travel retailers, certifying that travel retailers are compliant with federal law, required training of travel retailer employees and authorized representatives, designating a compliance officer, and the payment of all applicable licensing fees.
- (f) Provides that the parties responsible for an agency or travel insurance limited producer be fingerprinted in the same manner as insurance producers in their resident state.
- (g) Provides that a travel insurance limited producer is liable for acts of a travel retailer acting on their behalf.
- (h) Provides the minimum content requirements for written materials that a travel retailer must make available to prospective purchasers
- (i) Allows a travel retailer and their employees and authorized representatives whose insurance-related activity are limited to offering and disseminating travel insurance receive related compensation if they are included in the register of a travel insurance limited producer.
- (j) Provides that new Article 4. Travel Insurance (Sec. 21.42.800 – 21.42.825) apply to travel insurance, but not to cancellation fee waivers or travel assistance services except as expressly provided. Provides that travel insurance is still subject to applicable provisions of Title 21 Insurance except where specifically superseded by Sec. 21.42.800 – 21.42.825.
- (k) Provides that any person licensed for a line of authority under AS 21.27.115 may sell, solicit or negotiate travel insurance. A property & casualty insurance producer is not required to be appointed with an insurer.

New Sec. 21.42.810. Travel Protection Plans

- (a) Provides that a travel protection plan can be offered for a single price if
 - (1) the travel protection plan clearly discloses to the consumer before purchase that the plan includes both travel insurance coverage and non-insurance services such as travel assistance services and cancellation fee waivers, as

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applicable, and provides the consumer an opportunity to get additional information regarding each feature and the pricing of each feature; and

(2) that the fulfillment materials

(A) describe and delineate the features of the travel protection plan, and

(B) include travel insurance disclosures and contact information for persons providing travel assistance services and cancellation fee waivers.

(b) Provides examples of the travel assistance services that may be provided under travel protection plans. Provides that travel assistance services are not insurance and not related to insurance.

New Sec 21.42.815. Sales practices.

(a) Provides that a person offering travel insurance to state residents is subject to AS 21.36 Trade Practices and Frauds, except as provided in Sec. 21.42.800 – 21.42.825.

Provides that Sec. 21.42.800 – 21.42.825 shall control in a conflict with other provisions in Title 21 relating to the sales and marketing of travel insurance and travel protection plans.

(b) Provides that offering a policy that could never result in payment of a claim is an unfair trade practice under AS 21.36. Specifies nothing in this subsection limits the director's authority under AS 21.42.130 (*Grounds for disapproval*)

(c) Requires that all documents provided to consumers are consistent with the policy

(d) Requires disclosure of preexisting condition exclusions to the consumer before the time of purchase and in the fulfillment materials.

(e) Requires as soon as practicable delivery of the policy materials and outlines cancellation and refund requirements. Defines delivery of fulfillment materials for travel protection plans.

(f) Materials presented to consumers must disclose if coverage is primary or secondary to other coverage

(g) Provides exception to unfair trade practice for travel insurance marketed directly to a consumer through the internet or aggregator website when providing summaries or descriptions of the product

(h) Prohibits use of opt-out plans that require a consumer to take affirmative action to deselect coverage

(i) Provides that marketing blanket travel insurance coverage as free is an unfair trade practice under AS 21.36.

(j) Allows a consumer to secure alternate insurance coverage, with proof of insurance required, when a travel destination's jurisdiction requires that a consumer secure insurance.

New Sec. 21.42.820. Travel administrators. outline those that may act as or represent themselves to be an administrator and the activities they may engage in.

(a) Provides the licensing requirements for a person to act or represent itself as a travel administrator for travel insurance.

(b) Exempts travel administrators and their employees from adjuster license requirements for administering travel insurance.

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- (c) Provides that the insurer is liable for the acts of the travel administrator administering travel insurance underwritten by the insurer and requires that the administrator maintain and their records available to the director upon request.

New Sec. 21.42.825. Definitions. Provides definitions for the following terms in Sec. 21.42.800 – 21.42.825: blanket travel insurance, cancellation fee waiver, eligible group, fulfillment materials, offering and disseminating, travel administrator, travel assistance services, travel insurance, travel insurance limited producer, travel protection plan, and travel retailer.

Sections 10-12. Amend Title 23, Chapter 20 Alaska Employment Security Act , specifically AS 23.20.350(d),(f), and (h), *Amount of benefits*.

Section 13. Repeals AS 21.27.152 Travel Insurance (*Note - this is replaced by the new provisions in the bill*)

Section 14. The uncodified law of the State of Alaska is amended by adding a new section to state that Sections 1-3, 9, and 13, of this Act apply to an insurance policy or contract issued, delivered, or renewed on or after the effective dates of sections 1-3, 9, and 13 of this Act.

Section 15. Grants transition regulation authority to the director of the division of insurance for sections 4-8.

Sections 16-18. These sections address implementation of Sections 10-12 for unemployment insurance.

Section 19. Provides that Sections 15 and 16 of this Act takes effect immediately.

Section 20. Provides that all sections, except as provided in Sections 18 and 19 of this Act, have an effective date of January 1, 2027.

Companion or Similar Bills

Please note companion legislation, the sponsor of the companion legislation, and identify any “rider” bills or provisions from other legislation that was included in this final bill. Please include the name of the sponsor of the “rider bill” or provision. If it was added as an amendment in a committee – please indicate the name of the legislator that sponsored the amendment.

SB 244 (TRAVEL INSURANCE) was the companion bill for the travel insurance content. It was sponsored by Senate Labor & Commerce.

SB 185 (INSURANCE; REBATES; ADVERTISING) is a “rider bill” originally sponsored by Senate Labor & Commerce and adopted into HB 302 through a committee substitute in Senate Transportation drafted by Chair Bjorkman after the original SB 185 picked up a rider bill of HB 272 sponsored by Rep. Josephson in the House Labor & Commerce committee. The provisions from HB 272 that were amended into SB 185 resulted in a positive fiscal note and a House Finance referral, which stalled that version.

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HB 193 (UNEMPLOYMENT BEN; PAID LEAVE: PARENT/SICK) is a “rider bill” originally sponsored by Representative Hall. Sections of HB 193 relating to unemployment benefits were amended into HB 302 through a Senate Floor amendment sponsored by Senator Kiehl.

Support/Opposition of the Bill

Please identify names, organizations, titles, and phone numbers of those who testified in support or in opposition of this bill.

In Support:

- Duke de Haas, Vice President, Deputy General Counsel, Allianz Partners, (804) 281-6707
- Caren Alvarado, Vice President Regulatory Affairs & Industry Relations, A&H Division, Crum & Forster, (732) 676-9819
- Laura Curtis, Assistant Vice President, State Government Relations, American Property Casualty Insurance Association, (916) 798-0180
- Christian Rataj, Senior Regional Vice President, State Government Relations, National Association of Mutual Insurance Companies, (303) 907-0587

Bill Signing ceremony suggestions (if applicable)

Please provide information for consideration for a bill signing ceremony. Information that is helpful includes: a specific conference, event, venue, date, and the names and contact information of stakeholders who should be considered for an invitation to the bill signing ceremony.

While a bill signing ceremony is not necessary, one could be done in connection with a Chamber of Commerce event or Travel industry event if other pro-business bills were being signed at the same time.

Commissioner’s Signature:

DocuSigned by:

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Date: 5/26/2026

I have reviewed the above information and provided it to the Governor’s Legislative Office for consideration of an action by the Governor on legislation passed during the second session of the 34th Alaska State Legislature.

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